

EVALUATION OF BUSINESS

IS THE BUSINESS ASSET HEAVY OR ASSET LIGHT?

To understand its capital requirements, the very first question to ask a business is whether it is asset-heavy or asset-light. Asset-heavy businesses are those that need a lot of assets like machines, land, building, etc. to conduct operations. For example, cement manufacturing plant, textile knitting unit, truck logistics business, etc. These businesses need a lot of assets to operate and thus require a lot of capital to be functional.

At the same time, some businesses do not require that many assets like in the case of marketing firms, legal firms, software companies, etc. So, the first thing that we will do is decide whether our business is asset-heavy or asset-light. We do so using a ratio called the 'asset turnover ratio'. This is calculated by dividing business sales by total business assets. If the business has assets worth Rs. 50 lac in business and can sell products worth Rs. 1 crore in the year, then the asset turnover ratio is = 1 crore / 50 lac = 2x. If the asset turnover ratio is less than 3, we will categorize our business as an asset-heavy business and if it is more than 3, we will categorize it as an asset-light business. This will help us identify how much capital does the business need going forward.

